

target between 40% and 68% of the time, on average, if your patterns are like the ones I tested.

For a more conservative target, calculate the height, divide by 2, and then apply the result to the pattern's high or low price.

[Figure 9.5](#) makes applying the measure rule clearer. The height of the formation is the difference between the highest high (34.13) and the bottom trendline price (29.25), or 4.88. Subtract the result from the bottom trendline price, giving a target price of 24.37. The nearer target in the figure uses half the formation height, or 2.44, to give a price target of 26.81. An upward breakout target would be the height added to the top of the pattern, or $34.13 + 4.88 = 39.01$.

Partial rise or decline. A partial rise or decline can be difficult to trade because price often pauses partway across the chart pattern on its way to the opposite side. This pause looks like a partial rise or decline. Wait before buying to be sure that price is unlikely to continue in the original direction. Try buying when price closes beyond the halfway point between the minor low/high and the trendline.

For example, if the top trendline is at 20 and price has declined from there to 14 before starting back up in what you suspect is a partial decline, buy when the price closes above 17 (that is half the distance between 20 and 14). You might use Fibonacci retracements of 38%, 50%, or 62% as buying locations, but I don't think they'll give you an edge. If price turns at those retracement levels, then consider opening a position.

Intraformation trade. If the pattern is tall enough, consider trading between the two trendlines. Buy after price bounces off the lower trendline and sell after it turns down at the top. If you are lucky, the pattern will break out upward and you can ride the stock even higher. Use trailing stops to protect your profits. When the stock climbs above the nearest minor *high*, raise your stop to just below the prior minor *low*. That strategy should give the stock plenty of wiggle room, but adapt it to your market conditions.

Stop location. [Table 9.7](#) gives guidance on how often price will reach various parts of the chart pattern on the way to the ultimate high or low. Be sure to adjust the stop location for your tolerance to losing your shirt (or blouse).